

4.2
Monopoly

Explain:

- The characteristics of monopoly
- Dynamic efficiency
- X-inefficiency

Explain, with the aid of a diagram:

- Monopoly; supernormal profit in both short and long run
- A monopolist as a price maker
- Equilibrium price and output for a profit maximising monopolist
- Productive and allocative efficiency with a profit maximising monopolist
- Price discrimination by a firm with monopoly power
- Natural monopoly

Evaluate:

- Advantages and disadvantages of a monopoly
- Advantages and disadvantages of a natural monopoly